Module 2: Affirm — Student Packet

Start here — Affirm

Read before class (5–8 minutes): the three facts and three terms below. The full blog, company summary, filing, and detailed role pages are optional depth unless a specific passage is assigned.

In class: review the worked example, explain the decision in your own words, then read only your assigned role in the student packet below. Four leads make decisions; the Account Manager integrates them. The packet works without SkillSimm access.

Three essential facts

- FY2025 GMV was $36.7 billion; revenue was $3,224.4 million.
- Transaction costs were about 4.75 cents per GMV dollar, against about 8.8 cents of revenue.
- The top five partners accounted for about 47% of GMV.

Three terms

- GMV: the total value of transactions passing through a platform.
- Take rate: revenue retained as a share of transaction value.
- Contribution: revenue left after the variable costs of serving that business.

Worked example — discuss before opening the simulation

Illustrative startup: a $100 order generates a $10 platform fee and $6 in variable costs. Contribution is $4 before fixed costs. Doubling orders doubles contribution only if the per-order economics hold.

Readiness check: Which costs grow with each transaction, and what remains to pay fixed costs? Ask a teammate to explain the task back before starting.

Choose your role

Read the primer above and only your assigned role below. The detailed role pages and full company summary are optional references. Record the decision text, evidence, trade-off, and what would change your mind.

Financial Lead

Decision

Every loan has to live somewhere. Where should the loans go?

Your four choices — pick one

- **(A) Grow GMV as fast as we can** and fund it wherever there is capacity. GMV grew 38% and revenue grew 39% — the funding sorts itself out behind the volume.
- **(B) Lean toward selling** — $15.8 billion sold produced $381.6 million of gain plus $120.6 million of servicing income without tying up our own balance sheet.
- **(C) Allocate each loan to the channel where its own economics win** — hold the ones whose spread beats funding cost and expected losses, sell the rest. The channel is a per-loan decision, not a company-wide policy.
- **(D) Lean toward holding** — interest income is $1.6 billion, our largest single revenue line, and holding the loans is the only way we keep it.

Need more evidence? Detailed role reference.

Marketing Lead

Decision

Marketing spend fell 25% while volume grew 38%, and five partners are now 47% of GMV. Where does the growth money go?

Your four choices — pick one

- **(A) Cut marketing again.** It fell 25% and GMV still grew 38% — at this point the network markets itself.
- **(B)** Into the **direct-to-consumer products** — Affirm Card went from 2% to 10% of transactions, and it makes us the payment method rather than a button on somebody else's checkout page.
- **(C)** Into **winning more large enterprise platforms** — that is where volume actually lives, and each one adds billions at once.
- **(D)** Into **diversifying away from the top five** and into **repeat usage by consumers we already have** — 47% of GMV in five partners is the biggest single risk in the model, and transactions per consumer is the cheapest volume we can add.

Need more evidence? Detailed role reference.

Operation Lead

Decision

About 4.75 cents of every GMV dollar leaves as transaction cost, against 8.8 cents of revenue. Which slice do you attack?

Your four choices — pick one

- **(A) Processing and servicing** — $457.8 million. Automate collections and customer care so the cost per transaction falls as transactions rise.
- **(B) Funding costs** — $425.5 million. Diversify and extend the facilities so the slice stops moving every time rates do.
- **(C) Push AOV back up** from $273 toward $292 — a bigger basket spreads the same transaction costs over more GMV.
- **(D) Credit losses** — $616.7 million, the largest slice, and the only one we set ourselves at the moment we approve the transaction.

Need more evidence? Detailed role reference.

Tech Lead

Decision

Technology and data analytics is $589.7 million and the company just posted its first $52.2 million of profit. What do you build and what do you buy?

Your four choices — pick one

- **(A) Hold technology spend flat or cut it.** We just turned our first profit of $52.2 million and $589.7 million of engineering is the obvious place to protect it.
- **(B) Invest hardest in the consumer app and the Affirm Card** — going from 2% to 10% of transactions is how we stop depending on somebody else's checkout page.
- **(C) Buy more from processors and card-issuing partners across the board.** We are a network, not an infrastructure company, and engineering is our third-largest expense.
- **(D) Build the underwriting and risk models** — they set the biggest cost in the waterfall and 343 million loans of data cannot be bought — and **rent the rails**: issuing, processing, core banking.

Need more evidence? Detailed role reference.

Account Manager

Hear the four leads; rank Funding, The waterfall, Concentration, Technology from 1–4 and distribute 100 priority points in blocks of 10. Defend the first priority with evidence, describe one trade-off, and name a condition that would change your ranking. There is no required ranking independent of your reasoning.

Save before leaving

Decision → evidence and source → trade-off → change after discussion → concept and venture application. Keep your own copy for the reflection.

Venture workshop

Draw the money flow for one sale in your venture: customer payment, revenue retained, variable costs, and contribution. Identify a cost assumption to test. **Output:** A one-sale economics table for Midterm Section C.

Submission

Submit your individual reflection in the existing HuskyCT assignment at its current deadline. Use the five headings in the reflection guide; from October 20 onward, aim for 300–500 words. The workshop is project preparation, not a separate new graded submission.